TOPIC 1 · THE GLOBAL ECONOMY

Reuters (via BusinessDay), 9 Nov
Thursday 12 November 2026

China extends its trade truce with the US to January

> China will keep its extra 24% tariff on US goods suspended for another two months, buying time before Xi Jinping and Donald Trump meet at APEC.

WHAT HAPPENED

- The **additional 24% tariff** on US imports stays suspended for two more months, but a **10% tariff** remains.
- Waivers on export controls for some **critical minerals** are extended to 10 January 2027.
- Penalties on 11 US firms (unreliable entities list) and 16 firms (export control list), and special port fees on US-linked ships, stay suspended to the same date.
- Both sides have proposed a **US$60bn package** of reciprocal tariff cuts, including about US$17bn of US farm goods – not yet finalised.
- Xi and Trump are expected to meet at **APEC**, 18–19 November.

24%
Extra tariff on US goods – suspended

10%
Tariff still in place

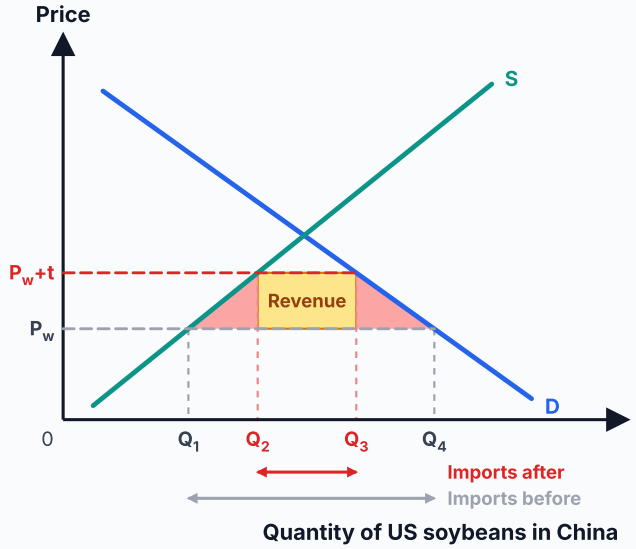
US$60bn
Proposed reciprocal tariff cuts (not final)

10 Jan 2027
New deadline for suspended measures

Tariff: a tax on imported goods that raises their domestic price.
Trade truce: a temporary pause in retaliatory trade barriers while negotiations continue.

DIAGRAM

What the suspended tariff would do if reimposed



With free trade, Chinese buyers pay the world price P_w and import Q_1–Q_4.

A tariff raises the domestic price to P_w+t: Chinese farmers supply more (Q_2), consumers buy less (Q_3), imports shrink to Q_2–Q_3, the government collects revenue, and the red triangles show the **deadweight loss**. Suspending the extra 24% keeps the price wedge smaller.

Exam angle: A US–China farm deal could cause **trade diversion**: if China buys more US farm goods to honour a deal, it may buy less from other suppliers, such as Australia.

FLOW CHART

Why the truce matters

Extra 24% tariff stays suspended → Lower import prices than under full tariffs → Less uncertainty for traders and investors → **Room to negotiate at APEC**

SYLLABUS LINK
Topic 1 – Protectionism: reasons for and effects of tariffs; trade disputes; the role of negotiations and agreements.

TRY THIS
Using a tariff diagram, explain the effects on Chinese consumers and US exporters if the suspended 24% tariff were reimposed.
(6 MARKS)

Sources — BusinessDay/Reuters, 'China extends US trade truce by two months': businessday.co.za/world/2026-11-09-china-extends-us-trade-truce-by-two-months/

Figures as reported; diagrams are illustrative, not to scale.